

Notice of Invoice Discrepancy and Payment Withholding

Horizon Retail Group • November 05, 2024

FORMAL NOTICE OF BILLING DISCREPANCY

TO: Accounts Receivable, Apex Logistics Inc.

FROM: Accounts Payable, Horizon Retail Group

DATE: November 05, 2024

REFERENCE: Master Service Agreement (MSA) #HRG-2022-09

Dear Apex Logistics Billing Department,

This notice serves as formal communication regarding discrepancies identified during our month-end reconciliation for October 2024 freight invoices. Horizon Retail Group is placing a temporary hold on payment for Invoice #APX-99402 and Invoice #APX-99415, totaling \$184,350.00, until the variances detailed below are resolved.

Discrepancy Details:

- Unauthorized Accessorial Charges:** Invoice #APX-99402 includes \$14,200 in "Peak Season Surcharges." Per Section 4.2 of our active MSA, peak season rate adjustments require a 30-day advance written notice and counter-signature from our VP of Supply Chain. No such addendum is on file.
- Fuel Surcharge Calculation Error:** Invoice #APX-99415 applies a 22% fuel surcharge against the base linehaul rate. The agreed-upon matrix pegs the surcharge to the National Average Diesel Price Index, which dictates an 18.5% rate for the week of shipment. This results in an overbilling of \$6,450.

Required Action:

Please issue revised invoices reflecting the contracted baseline rates and correct fuel surcharge percentages within 5 business days. Upon receipt and verification of the corrected billing, Horizon Retail Group will release funds via standard ACH transfer on our next net-30 payment run.